

PALMETTO STAY | MANAGEMENT REVIEW

H1 2026 actual performance vs approved budget | Information cutoff: July 8, 2026 | Synthetic case v1.0

H1 PERFORMANCE AT A GLANCE

Metric	Actual	Budget	Variance
Occupancy	63.7%	66.7%	-3.0 pp
Room revenue	\$1,784,860	\$1,883,052	(\$98,192)
Property contribution	\$453,743	\$534,270	(\$80,527)
Contribution margin	25.4%	28.4%	-3.0 pp

MANAGEMENT READOUT

Demand, not rate, is the primary first-half issue. Lower occupied room nights drove most of the revenue miss, while a richer corporate mix also diluted the benefit of modestly favorable realized rates.

Property operating contribution finished below plan. Lower revenue was the dominant pressure; housekeeping productivity and wage effects added cost headwinds despite favorable volume flexing.

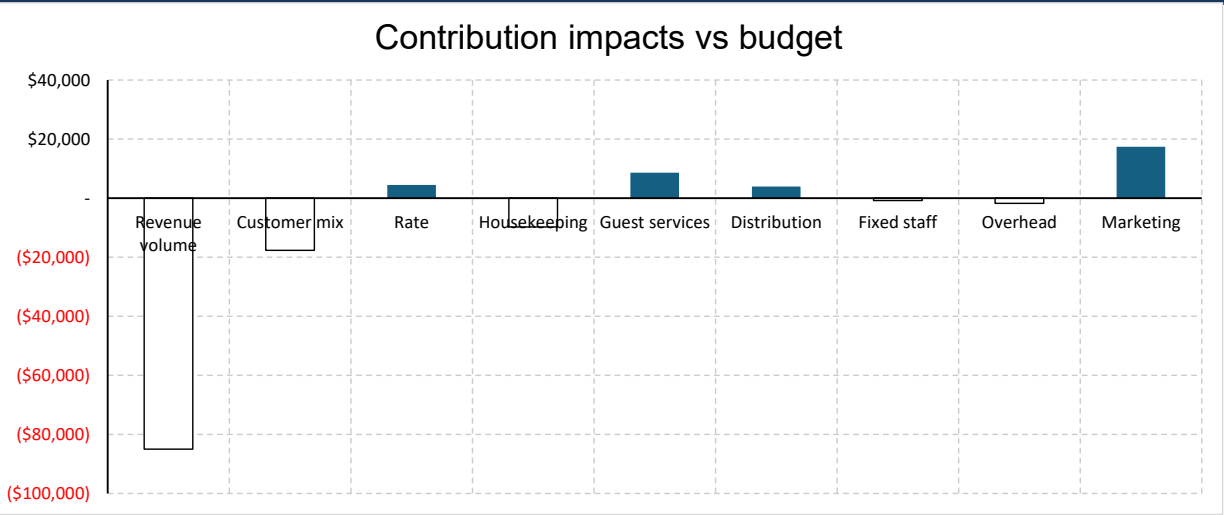
The marketing underspend is timing, not a structural saving. The deferred June activity is included once in September in every RF1 scenario, preserving service timing without double counting.

The Base outlook assumes partial demand recovery and gradual housekeeping normalization. The unconfirmed May overhead item is not annualized; it remains a follow-up rather than a recurring forecast assumption.

SUPPORTING OPERATING DRIVERS

Driver	Actual	Budget	Variance	Read-through
Occupied room nights	11,538	12,078	(540)	Demand shortfall
Corporate share	39.2%	33.3%	6.0 pp	Mix shifted corporate
Blended ADR	\$154.69	\$155.91	(\$1.21)	Near plan
HK hours / occupied room	0.578	0.533	0.045	Efficiency pressure
HK effective wage / hour	\$22.71	\$22.00	\$0.71	Structural wage step-up
Guest-service cost / room	\$19.32	\$19.17	\$0.15	Slight unit-cost pressure

H1 CONTRIBUTION IMPACT BY DRIVER (\$000s)



BRIDGE RECONCILIATION | Positive impact is favorable

Bridge component	Impact	Direction
YTD budget contribution	\$534,270	Starting point
Revenue — volume	(\$84,995)	Unfavorable
Revenue — customer mix	(\$17,667)	Unfavorable
Revenue — rate	\$4,470	Favorable
Housekeeping — volume	\$6,290	Favorable
Housekeeping — efficiency	(\$11,328)	Unfavorable
Housekeeping — wage rate	(\$4,714)	Unfavorable
Guest services — net	\$8,650	Favorable
Distribution fee	\$3,928	Favorable
Fixed staff — net	(\$800)	Unfavorable
Rent and overhead	(\$1,760)	Unfavorable
Marketing timing	\$17,400	Favorable
Recorded YTD contribution	\$453,743	Ending point

2026 RF1 OUTLOOK & ACTIONS

Palmetto Stay | Actuals: January–June | Forecast: July–December | Base is the working outlook; scenarios are unweighted decision-support cases

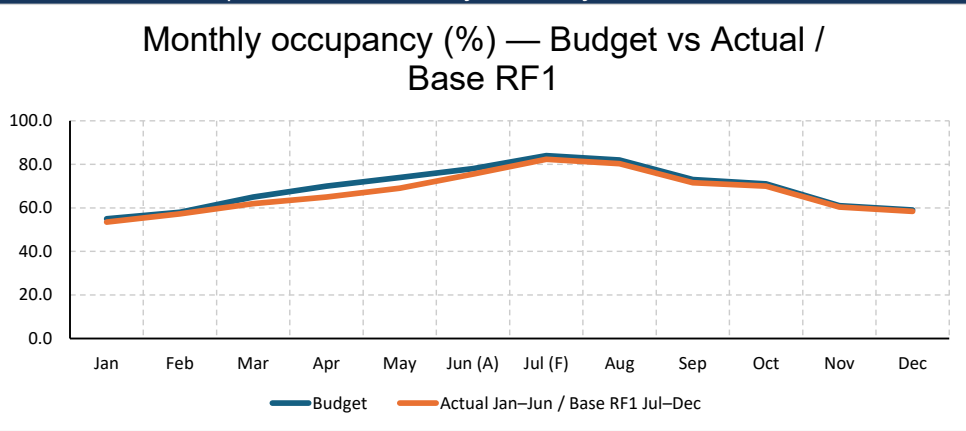
FULL-YEAR BASE OUTLOOK

Metric	Budget	Base RF1	Base vs budget	Management view
Occupancy	69.2%	67.2%	-2.1 pp	Partial recovery
Room revenue	\$4,044,922	\$3,903,659	(\$141,262)	H1 gap persists
Property contribution	\$1,279,795	\$1,137,547	(\$142,248)	Below approved plan
Contribution margin	31.6%	29.1%	-2.5 pp	Margin remains compressed

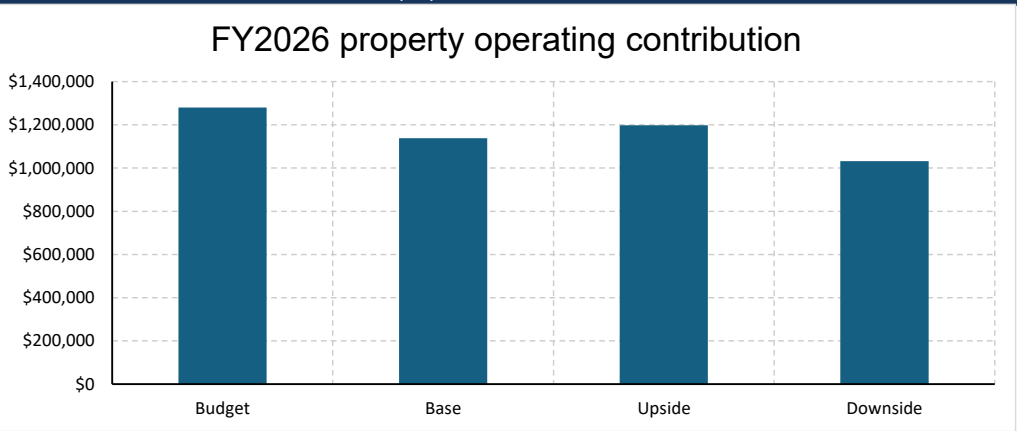
SCENARIO RANGE | Full-year 2026

Case	Occupancy	Revenue	Contribution	Margin
Budget	69.2%	\$4,044,922	\$1,279,795	31.6%
Base	67.2%	\$3,903,659	\$1,137,547	29.1%
Upside	68.1%	\$3,974,208	\$1,198,074	30.1%
Downside	65.5%	\$3,777,975	\$1,031,710	27.3%

MONTHLY OCCUPANCY | Actual / forecast boundary is June–July



FULL-YEAR CONTRIBUTION COMPARISON (\$M)



OUTLOOK & MANAGEMENT IMPLICATIONS

Base recovers from the first-half low point but does not regain the approved full-year plan. Even Upside remains below approved contribution, so the immediate goal is disciplined recovery rather than plan catch-up by assumption.

The range is asymmetric: persistent demand weakness and slower housekeeping normalization create more downside than the incremental benefit available in Upside. Scenario differences remain limited to visible operating drivers.

Forecast accuracy cannot yet be evaluated because no later actuals exist. RF1 should be judged as a transparent decision baseline and refreshed only when new evidence becomes available.

RISKS & OPPORTUNITIES

Risk — Retail/leisure recovery remains the largest uncertainty. A slower H2 pickup would pressure both room revenue and flow-through.

Risk — Housekeeping productivity may normalize more slowly while the higher wage remains structural, increasing variable labor cost.

Opportunity — Corporate support and targeted September marketing can improve occupancy if pickup converts without sacrificing realized ADR.

NEXT MANAGEMENT ACTIONS

#	Decision / follow-up	Owner	Timing	Evidence expected
1	Track occupied room nights by segment against Base, Upside, and Downside; escalate sustained variance.	GM / Commercial	Weekly in H2	Pickup by segment
2	Review housekeeping hours per occupied room and loaded wage against the normalization path.	Operations	Weekly Jul–Sep	Hours, rooms, payroll
3	Confirm execution and invoice timing for the deferred marketing activity included in September.	Marketing / Finance	By September close	Completed service and invoice
4	Resolve the cause and recurrence risk of the unconfirmed May overhead item before the next RF update.	Finance	Before next RF	Vendor / ledger support

Synthetic portfolio case. Property operating contribution is a non-GAAP management measure defined in the project specification. See Checks before relying on the workbook.